



PAPER – 6: FINANCIAL MANAGEMENT AND STRATEGIC MANAGEMENT

6A: FINANCIAL MANAGEMENT



QUESTIONS

Division A: Case Scenarios

Investment Decision

1. Linty is a small-sized firm manufacturing company. Its manufacturing plant is situated in Chattisgarh. Currently, company is labour oriented due to which there is less production, delay in deliveries and more defects in production. The management of the company is considering the proposal to purchase a new automatic machine which will carry out some operations which are at present performed by manual labour. There are two alternative models of the machine that are available in the market. Machine TMT 1 and TMT 2. If machine is replaced, it would provide labor saving and reduce the defects as well. It is expected to have to have an economic life of 10 years for both the models. The following details are collected:

	Machine	
	TMT 1 (₹)	TMT 2 (₹)
Cost of Machine	45,00,000	50,00,000
Estimated saving in direct wages per annum	15,00,000	20,00,000
Estimated saving in scrap per annum	5,00,000	6,00,000
Estimated additional cost of indirect material per annum	2,00,000	2,00,000

Estimated additional cost of indirect labour per annum	1,50,000	1,80,000
Estimated additional cost of repairs and maintenance per annum	4,00,000	8,00,000

Depreciation is charged using straight line method over the useful life. Company is in 35 percent tax bracket and expected rate of return may be 15 percent.

Being a finance manager of the company, you are required to evaluate the alternatives by answering the followings:

- i. What is the annual saving from Machine TMT 1?
 - A. ₹ 5,20,000
 - B. ₹ 5,98,000
 - C. ₹ 9,70,000
 - D. ₹ 10,98,000
- ii. What is the annual saving from Machine TMT 2?
 - A. ₹ 5,20,000
 - B. ₹ 5,98,000
 - C. ₹ 9,70,000
 - D. ₹ 10,98,000
- iii. What is the payback period of Machine TMT 1 and TMT 2 Respectively?
 - A. 3.60 years and 4.60 years
 - B. 4.25 years and 4.42 years
 - C. 4.63 years and 4.55 years
 - D. 4.55 years and 4.42 years
- iv. What is the Accounting (Average) Rate of Return of Machine TMT 1 and TMT 2 Respectively?
 - A. 20% and 22%

- B. 23.11% and 23.92%
 - C. 22.21% and 23.11%
 - D. 23.92% and 22.21%
- v. What is the Profitability Index (PI) of Machine TMT 1 and TMT 2 Respectively?
- A. 1.10 and 1.05
 - B. 0.98 and 1.01
 - C. 1.19 and 1.08
 - D. 1.08 and 1.10

Financing Decision - Cost of Capital

2. The shares of ACB Ltd. are presently traded at ₹ 51 and the company is expected to pay dividends of ₹ 5 per share with a growth rate expected at 10% per annum. It plans to raise fresh equity share capital. The merchant banker has suggested that an underpricing of ₹ 2 is necessary in pricing the new issue besides involving a cost of ₹ 50 paise per share on miscellaneous expenses. The cost of new equity shares (assuming no change in dividend rate and growth rate) will be:
- (A) 18%
 - (B) 17.5%
 - (C) 18.25%
 - (D) 20.31%

Financing Decision – Leverages

3. RGT Infrastructure Company has a degree of operating leverage of 3 at a sales level of ₹ 7,00,000 and operating income of ₹2,20,000. Fall in sales of the company by 10% will result in decrease in operating income of:
- (A) ₹ 80,000
 - (B) ₹ 55,000
 - (C) ₹ 66,000
 - (D) ₹ 40,000

Division B: Descriptive Questions
Financial Analysis & Planning – Ratio Analysis

4. Using the information given below, PREPARE the Balance Sheet of Navy Private Limited –

Particulars	Details
Stock turnover Ratio	15 times
Cash and Bank balance	10% of Current Assets (net off prepaid exp)
GP Ratio	20%
Creditors turnover (cost of goods sold) ratio	10 times
Debtors turnover ratio	12 times
Net Fixed Assets	25% of Total Liabilities
Depreciation	15% on Opening WDV
Current Ratio	1.6 : 1
Capital Gearing Ratio	0.6 : 1

All Purchases and Sales are assumed to be on credit basis.

Balance Sheet of Navy Private Limited as of 31.03.2025

Particulars	Amount (₹)	Amount (₹)
A] Equities and Long Term Liabilities		
Share Capital	36,00,000	
Reserves and Surplus	??	
14% Bonds	??	???
B] Current Liabilities		
Trade Payables	??	
Outstanding expenses and provisions	??	
(*Net of Prepaid expenses of ₹7,50,000)		45,00,000
TOTAL		?????

C] Fixed Assets		
Opening WDV	??	
(-) Depreciation	??	???
D] Current Assets		
Inventory	??	
Trade Receivables	??	
Cash and Bank Balance	??	
		???
TOTAL		?????

(All the working notes should form part of your answer)

Financing Decision - Cost of Capital

5. Paramhans Limited has a capital structure that consists of Equity share capital, Reserves & Surplus, Bank term loan, Debentures which are redeemable at a premium of 5% and Preference share capital redeemable at premium of 5%. The coupon rate on debentures is 1.5 times of that of bank term loan coupon rate whereas the preference dividend rate is 1.5 times of debentures' interest rate. Tenure for the bank term loan, debentures and preference share capital is 3 years, 5 years and 7 years respectively.

The current book value of the capital structure is as follows –

Particulars	Amount (₹)
Equity Share Capital (FV = ₹ 100)	25,00,000
Reserves And Surplus	10,00,000
Bank Term Loan	10,00,000
Debentures (FV = ₹ 100)	15,00,000
Preference Share Capital (FV = ₹ 100)	20,00,000
TOTAL	80,00,000

Tax rate applicable to the company is 25%.

Debentures are currently selling at a price of ₹ 96 whereas Preference shares are currently selling at ₹ 102. The equity shares of the company are quoted at ₹ 150 per share. The ongoing P/E ratio for the shares of Paramhans Limited is at 6.667 times. Paramhans Limited belongs to a risk class where the overall capitalization and discounting rate of the company is at 20%

CALCULATE –

- (A) Rate of Interest on Bank term Loan & Debentures
- (B) Rate of Preference dividend
- (C) WACC using Market Value weights

Financing Decision - Capital Structure

6. Namra Limited provides you with the following information –

Particulars	Amount (₹)
Operating Profit	6,20,000
Less: Interest on Debentures @ 10%	(80,000)
EBT	5,40,000
Less: Tax @ 20%	(1,08,000)
PAT	4,32,000
Less: 14% Preference Dividend	(1,12,000)
Earnings for Equity Share Holders	3,20,000
No of Equity Shares (₹ 10 Each)	16,000
EPS	20

The Reserves & Surplus of the company is at ₹ 9,00,000 and Namra Limited requires additional funds of ₹ 15,00,000 for modernization and expansion. The current capitalization rate for the equity is 20% and company has a policy to retain 40% of its earnings. The debentures and preference shares are trading at premium of 10% & 25% to its current book value respectively. The fair value of equity shares is calculated by dividing the number of equity shares to the Overall Value of the firm.

New equity shares for expansion will be issued 15% discount to the current fair value price.

Return on Capital Employed (ROCE) which is based on the total value of the firm, will increase by 10% to its current rate after expansion and modernization. If the capital gearing ratio goes above 2.50 then interest rate on additional debt will increase by 200 basis points and dividend on preference shares would increase by half a percentage.

You are required to ADVISE on the below two financial plan to be selected based on earnings.

- (i) Two-third amount is raised through debenture and remaining by preference share.
- (ii) Issue of equity shares only.

Financing Decision – Leverages

7. Details of Kshitij Limited are given below for the year ended 31st March 2025 –

Particulars	Details
Sales	₹ 180 lakhs
Fixed Cost (Excl Interest)	₹ 45 lakhs
B.E.P Sales	₹ 120 lakhs
Equity Share Capital of ₹ 100 Each	₹ 150 lakhs
Income Tax Rate	25%
Cost Of Debt (Kd)	9%
Debt	₹ 90 lakhs

Required to CALCULATE -

- (A) Operating, Financial, Combined Leverage & P/V Ratio
- (B) Return on Capital Employed and EPS
- (C) Does Kshitij Limited have favorable Financial Leverage?
- (D) % Change in EPS, if EBIT increases or decreases by 15%

- (E) At what level of Sales, the PAT will be equal to $\frac{3}{4}$ th of its current value.

Dividend Decision

8. Mr. A had gathered the following information for his analysis –
- (A) A Company pays regular dividend on quarterly basis and the last interim dividend declared for the quarter was ₹ 3 per share
- (B) Owing to a wide market reach and presence, company's turnover has seen an annual compounded growth of 25% (CAGR) in the last 5 years and the turnover is expected to grow at the same rate in the future as well. The company expects the following Rate of Return (ROI) against the probabilities of likely achievement mentioned along with in different situations.

Scenario	ROI	Probability
I	20%	0.30
II	15%	0.60
III	12%	0.50

- (C) The retention ratio over the last 5 years has been 40%, 65%, 50%, 45%, 30% respectively and company plans to retain based on the past average.
- (D) The current interest rate on GOI Treasury bond is at 4.5% and the beta of the company is 1.3 and a market return of 12.5%

You are required to CALCULATE the theoretical market price of the company's share for Mr. A's decision-making using Gordon's model and Walter's model.

Management of Working Capital

9. The management of Parshvam Limited is planning to expand its business at international level and consults you for preparing and estimation of working capital needs so that they can avail the finance from the bank. The estimated data of Parshvam Limited reveal the following information –

Particulars	Amount (₹)
Materials Used	
Domestic on 2 months credit	9,00,000
Imports on 3 months credit **	6,00,000
Lag in Payment of wages - 1 month	6,00,000
Lag in Payment of Manufacturing Overheads – ½ Month	26,40,000
Sales	
Domestic on 1.5 months credit	30,00,000
Export on 3 months credit (sale price 10% below domestic price)	24,80,000
Administrative expenses payable in advance for 2 months	3,60,000
Lag in payment of Selling & Distribution expenses – 1 month	3,00,000

Advance Income tax for ₹25,000 for the quarter falling in the next financial year is paid by the company. Manufacturing overheads is inclusive of depreciation on the new machine purchased for tailor-made export products. The purchase price for the new machine is ₹24,00,000 with a depreciation rate of 10%. Cash Gross profit is at 20% on domestic sales.

However, to promote exports, Export Promotion Council (EPC Board) provides a revenue subsidy of 2.5% for the new machine purchased. Furthermore, Parshvam Limited submits the letter of credit (LOC) to its bank and avails the all-Export Sales value within 1 month. Financial institution charges a fee of 5% for the same.

The company keeps one month stock of raw materials and finished goods each. Goods remain in process for half a month with 90% raw materials introduced in the process. The company believes in keeping cash and bank balance of ₹1,50,000. The management is of the opinion that the safety margin is to be kept at 15%.

**Raw materials imported will attract a custom duty at 20% to be paid up front with a duty drawback of 5% credited upfront. You are required to -

- (A) PREPARE the estimated working capital statement for the next year.
- (B) ADVISE whether Parshvam Limited should continue with the export business or not.

(Requisite assumptions and notes should form part of the solution).

Miscellaneous

- 10. (a) Explain as to how the wealth maximisation objective is superior to the profit maximisation objective.
- (b) Explain some common methods of venture capital financing.